LANGSTON'S

FRVO

FRVO N/A

Hold	$31.57 ▼ 2.83%	12M Price Target **$42.00**	52-Week Range $31.10 – $42.65	Market Cap $9.30B

FRVO: Hot Geothermal Story Cooling After Nvidia Pop Fades

WHAT HAPPENED

- FRVO sold off hard this week — down from $36.36 Monday to $31.57 today, now sitting at the absolute bottom of its 52-week range (literally 4% off the low). That's classic "buy the rumor, sell the news" behavior: the Nvidia/PNNL geothermal digital twin partnership pumped the stock Monday, but the Barron's earnings-miss headline and the realization that the Utah 33 MW project is still "on track" (not ahead of schedule) sucked the air out.
- Volume cratered today to 619K shares vs ~2-3M earlier in the week — meaning sellers are exhausted but buyers aren't stepping in yet. That's a stock looking for a floor, not a bounce.

WHY IT MATTERS

The market is telling you the Nvidia partnership is cool but doesn't move 2026 numbers — and FRVO just missed earnings, which matters more than vaporware AI headlines. Here's the bigger picture: FRVO's whole story depends on signing data center power purchase agreements (long-term deals where hyperscalers like Google/Microsoft buy electricity from them), and those deals only pencil out if the Inflation Reduction Act's clean energy tax credits stay intact. With a Republican trifecta in Washington and ongoing budget reconciliation fights, those credits are the single biggest swing factor for this stock. Translation: this isn't really a geothermal story anymore — it's a policy story wearing a tech costume.

POLICY & POLITICAL WATCH

The big one: Congressional Republicans are actively negotiating which IRA clean energy credits survive in the FY2027 budget reconciliation package. Geothermal has bipartisan support (it's "firm" power — meaning it runs 24/7 unlike solar/wind, which conservatives like), so Section 45Y production tax credits for geothermal are MORE likely to survive than wind/solar credits — that's actually a relative tailwind for FRVO vs. NextEra-type renewables. Also watch the FERC interconnection queue reform and BLM permitting on federal lands — the Trump admin's push to fast-track energy projects on federal land could cut FRVO's project timelines by 12-18 months, which is huge for a company burning cash.

IS IT EXPENSIVE?

At a $9.3B market cap on ~$285M of expected 2026 revenue, investors are paying about $33 for every $1 of current-year sales — that's nosebleed territory for an energy company (traditional utilities trade at 2-3x sales). The bull case is that revenue triples by 2028 as projects come online, which would bring that multiple down to a more reasonable $11. But you're paying today for execution that hasn't happened yet — and they just missed earnings, so the burden of proof is climbing.

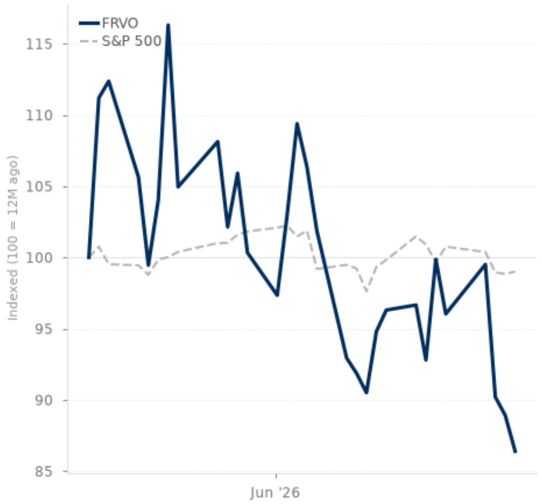
WHAT COULD GO WRONG

Key Data

Price (USD)	**$31.57**
12M Price Target	**$42.00**
Upside / (Downside)	**+33.0%**
Market Cap	**$9.30B**
FY2026E Revenue	**$285M**
FY2027E Revenue	**$520M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE

12-MONTH PRICE PERFORMANCE VS. S&P; 500



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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$38.00**	$33.00	**$28.00**
6 Months	**$48.00**	$38.00	**$25.00**
1 Year	**$60.00**	$42.00	**$22.00**
2 Years	**$85.00**	$55.00	**$18.00**
5 Years	**$150.00**	$90.00	**$15.00**
10 Years	**$300.00**	$160.00	**$10.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+2.29%) and Healthcare (+2.13%) leading — industrials benefiting from infrastructure spending optimism, healthcare bouncing on drug pricing clarity. Utilities up 3.82% on 5-day — money is hunting for "AI power" exposure through safer names.

COOLING OFF: Energy (-0.36% on 5D) lagging despite the AI power theme — traditional oil & gas isn't catching the data center bid, and clean energy is stuck in policy purgatory.

ROTATION WATCH: Capital is rotating from speculative clean-tech (FRVO, fuel cells, hydrogen) into regulated utilities with nuclear/gas exposure (Vistra, Constellation) — that's the safer way to play AI power demand right now, and it's a direct headwind for FRVO.

RELATED PLAY: If you believe the AI-power thesis but want less binary risk, look at the data center REITs (DLR, EQIX) or the regulated utilities serving Virginia/Texas data center alleys — they capture the same demand without the technology execution risk.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Crushing it — nuclear + gas fleet positioned perfectly for data center PPAs, no IRA dependency
- CEG (Constellation): Microsoft Three Mile Island deal validated the "AI needs firm clean power" thesis with proven assets, not pilot projects

FRVO CONTEXT: FRVO is badly lagging the AI-power peer group right now — Vistra and Constellation are near highs while FRVO is at 52-week lows. That tells you the market is willing to pay up for AI power exposure, but ONLY for companies already generating electrons. FRVO needs proof points (real PPAs, real megawatts) before it re-rates higher.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-3% of portfolio

Entry Points: $28-30 on further weakness

Time Horizon: 18-36 months

Thesis Invalidation: Utah project delays beyond Q4 2026 or IRA Section 45Y credits get gutted

Hedging: Pair with a traditional utility long (firm power exposure without binary tech risk)